

Investor Briefing

FY 2020 Results Presentation

23rd March 2021



A woman with dark hair, wearing a white blazer and a white face mask, is seated on an airplane. She is looking down at a laptop. The airplane window behind her shows a blue sky with white clouds. The seat next to her has a red and white striped headrest cover.

Agenda

- Market Perspectives
- Financial Results
- Future Outlook

Overview of Aviation Global & Africa



Global Aviation: Effects of the Coronavirus Pandemic

Passenger & Freight Traffic

50%

Drop in Seat Capacity

30%

Cargo Yield Growth

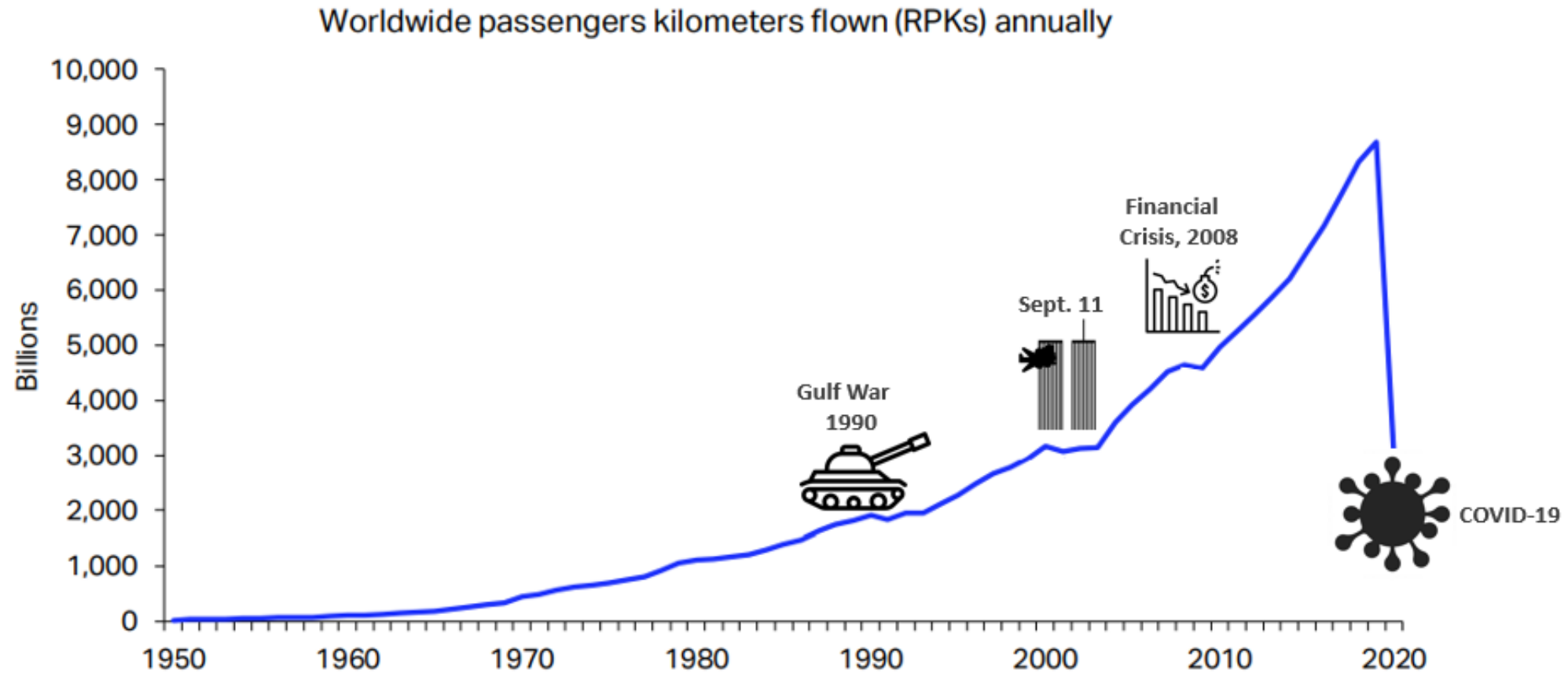
\$370B

Drop in Gross Revenues

57.6%

Available Seat Kms down

Global Aviation Revenue Passenger Kilometres Performance in 2020 (RPK)



- COVID-19 remains the biggest shock to hit the aviation industry since World War II.
- The pandemic has seen Global RPKs shrink by an average of 66% in 2020

Performance of Select Global Airlines in 2020

Legacy Carriers N. America

	Loss	US \$ 12.4 Bn
	Aircraft No	800
	Loss per aircraft	US \$ 15.5 Mn

	Loss	US \$ 8.9 Bn
	Aircraft No	882
	Loss per aircraft	US \$ 10 Mn

	Loss	US \$ 7.1 Bn
	Aircraft No	828
	Loss per aircraft	US \$ 8.5 Mn

	Loss	US \$ 0.5 Bn
	Aircraft No	54
	Loss per aircraft	US \$ 9 Mn

Low Cost Carriers N. America

	Loss	US \$ 1.3 Bn
	Aircraft No	800
	Loss per aircraft	US \$ 1.6 Mn

	Loss	US \$ 1.3 Bn
	Aircraft No	291
	Loss per aircraft	US \$ 4.4 Mn

	Loss	US \$ 1.3 Bn
	Aircraft No	272
	Loss per aircraft	US \$ 4.7 Mn

European Carriers Groups

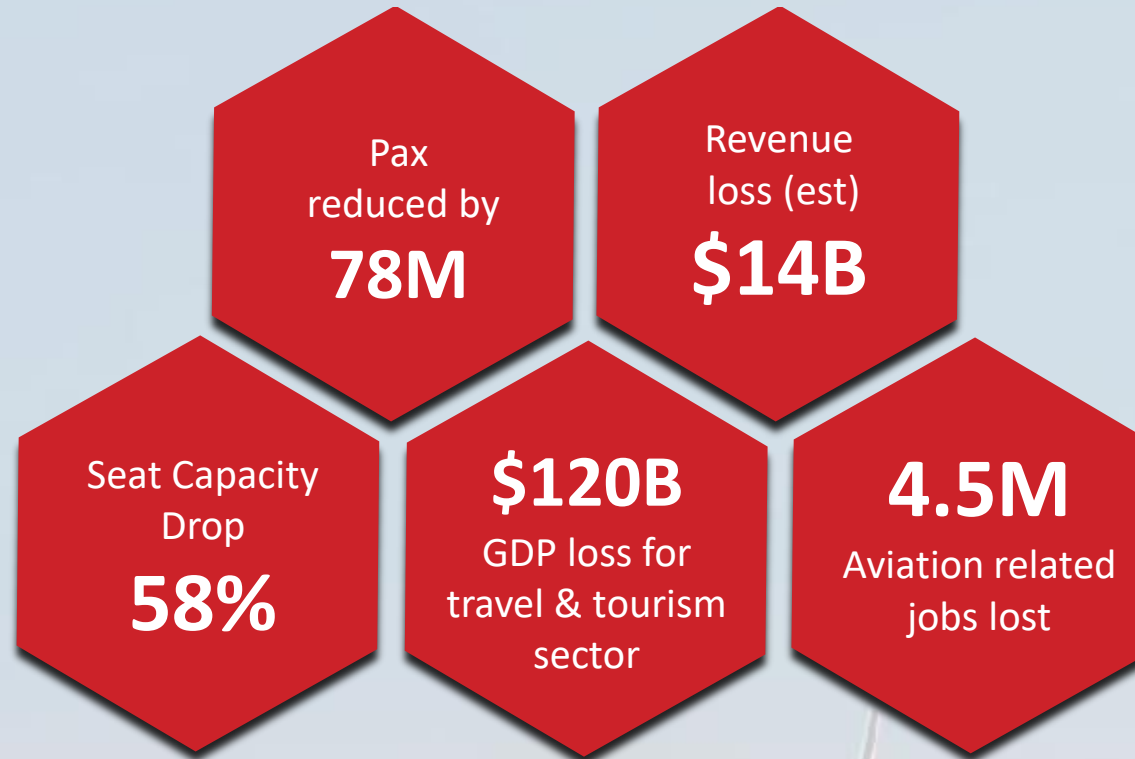
	Loss	€ 4.5 Bn
	Aircraft No	546
	Loss per aircraft	€ 8.2 Mn

	Loss	€ 8.5 Bn
	Aircraft No	533
	Loss per aircraft	€ 16 Mn

	Loss	€ 6.7 Bn
	Aircraft No	757
	Loss per aircraft	€ 8.8 Mn

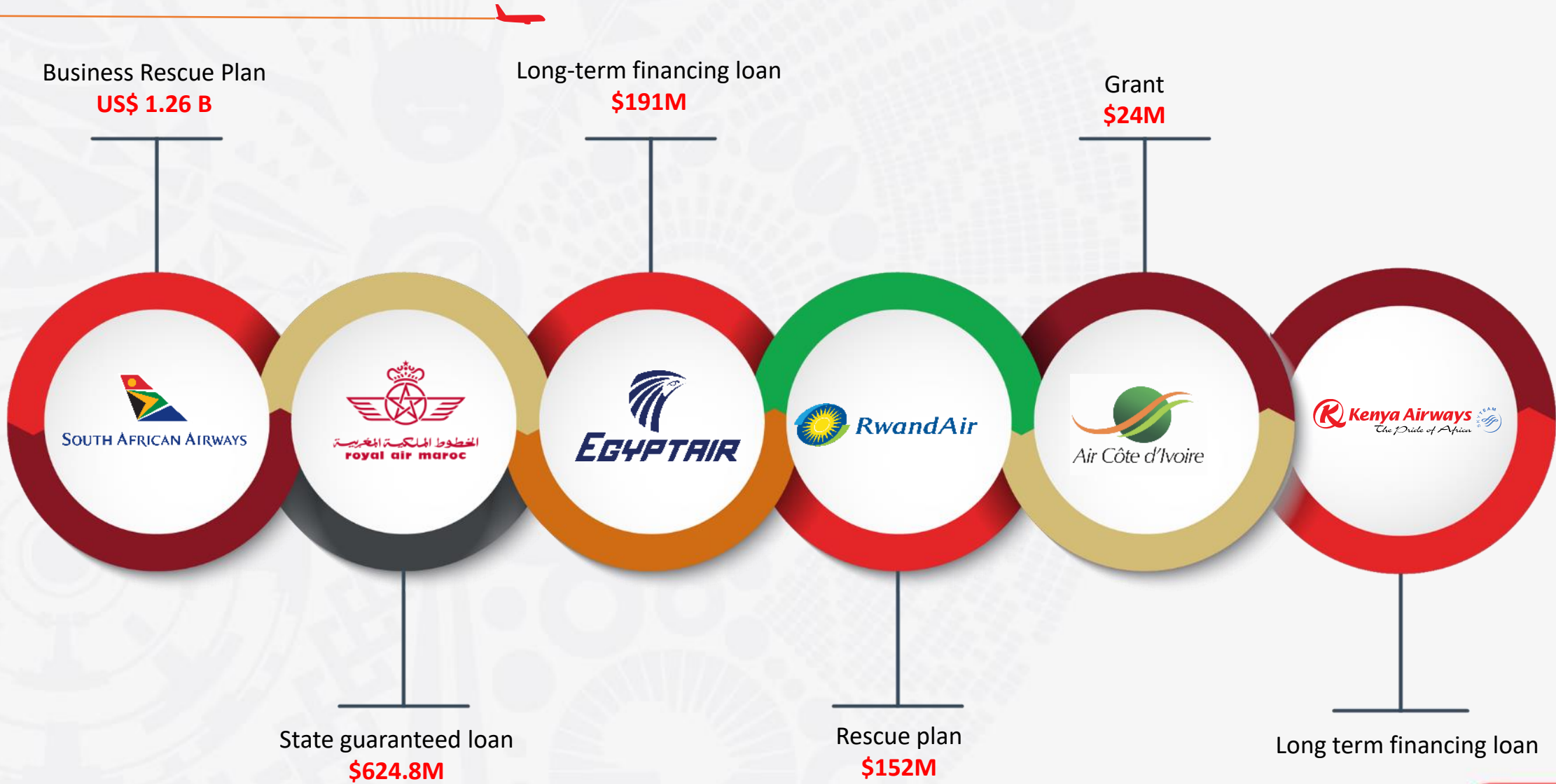
Aviation in Africa

Impact of COVID 19 on the industry



Source: AFDB (Nov 2020) - An Effective Response to COVID-19 Impacts on Africa's Aviation Sector & <https://www.icao.int/Newsroom/Pages/2020-passenger-totals-drop-60-percent-as-COVID19-assault-on-international-mobility-continues.aspx>

Government Support to Airlines



Managing the Business in the pandemic

Cargo Operations

Deliveries across markets



- Flower deliveries to Europe- **2,600 tons**
- Foodstuffs to Europe & Middle East- **11,000 tons**
- Pharma and PPE - **8,000 tons**

Pharma



Dedicated 600sqm cold room capable of handling up to 300 tons

Direct Cargo operations



Mombasa to Sharjah from November 2020

B787 Preighter



Repurposed Pax B787-a world first. Added 50 tons to capacity to cargo fleet

Southern Africa Cargo Operations



5th Freedom approvals to freight cargo between JNB, MPM, HRE, LLW and DAR

Innovation



Fahari Hub Set-up

Ideas are developed & implemented.

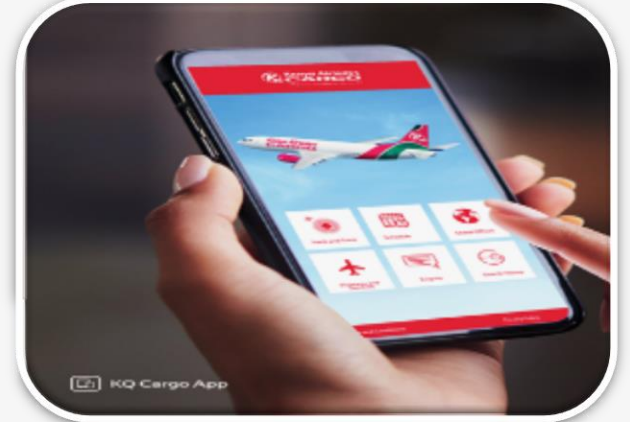
Success include;

- Regional cargo
- operations
- Charters



KQ Fahari Aviation

- Developed Business Unit for Unmanned aircraft systems.
- Acquired 4 training drones.



Digital Retail Platform

Enhanced Customer experience;
Rolled out E-payments solution to secure payments.
Upgraded Cargo & mobile apps

Customer Excellence Centre (CEC)



Revamped the Customer Contact Centre to the Customer Excellence Centre

A photograph of two female aircraft technicians working on an engine component. They are wearing white uniforms with pilot-style epaulettes and are focused on their task. The technician in the foreground is wearing a high-visibility vest. The background shows the complex structure of an aircraft engine.

Cash Conservation & Cost Savings

Loan Repayment Moratoria

Conserved over USD\$60 M

Technical Costs Savings

Savings of approximately US \$13M through supplier negotiations & B787 C- Checks

Awards

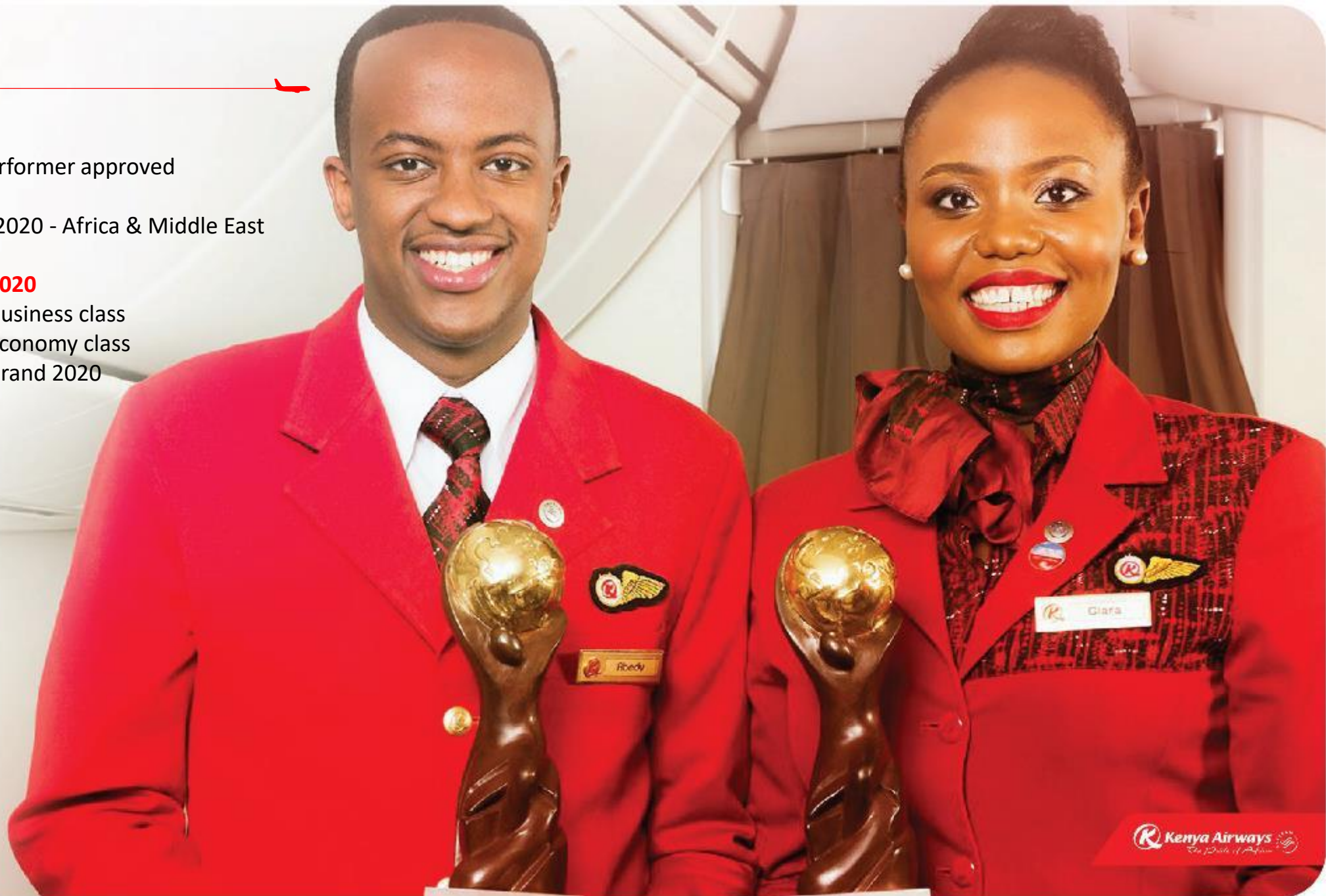
KQ Pride Centre

IATA 2020 Regional Top performer approved training centre.

- Regional Top Performer 2020 - Africa & Middle East

KQ World Travel Awards 2020

- Africa's Leading Airline-Business class
- Africa's Leading Airline-Economy class
- Africa's Leading Airline-Brand 2020



Operational Highlights



-68%

Available Seat KMs

CY 5,292 mil

PY 16,731 mil



-66%

Passenger Numbers

CY 1.8 mil

PY 5.2 mil



Cabin Factor

CY **65%**

PY **77%**



-28%

Cargo Volumes

CY 49,418 Tonnes

PY 68,264 Tonnes



-60%

Block Hours

CY 67,437

PY 169,773



-59%

Turnover

CY Kes 52.805 mil

PY Kes 128.317 mil

Key

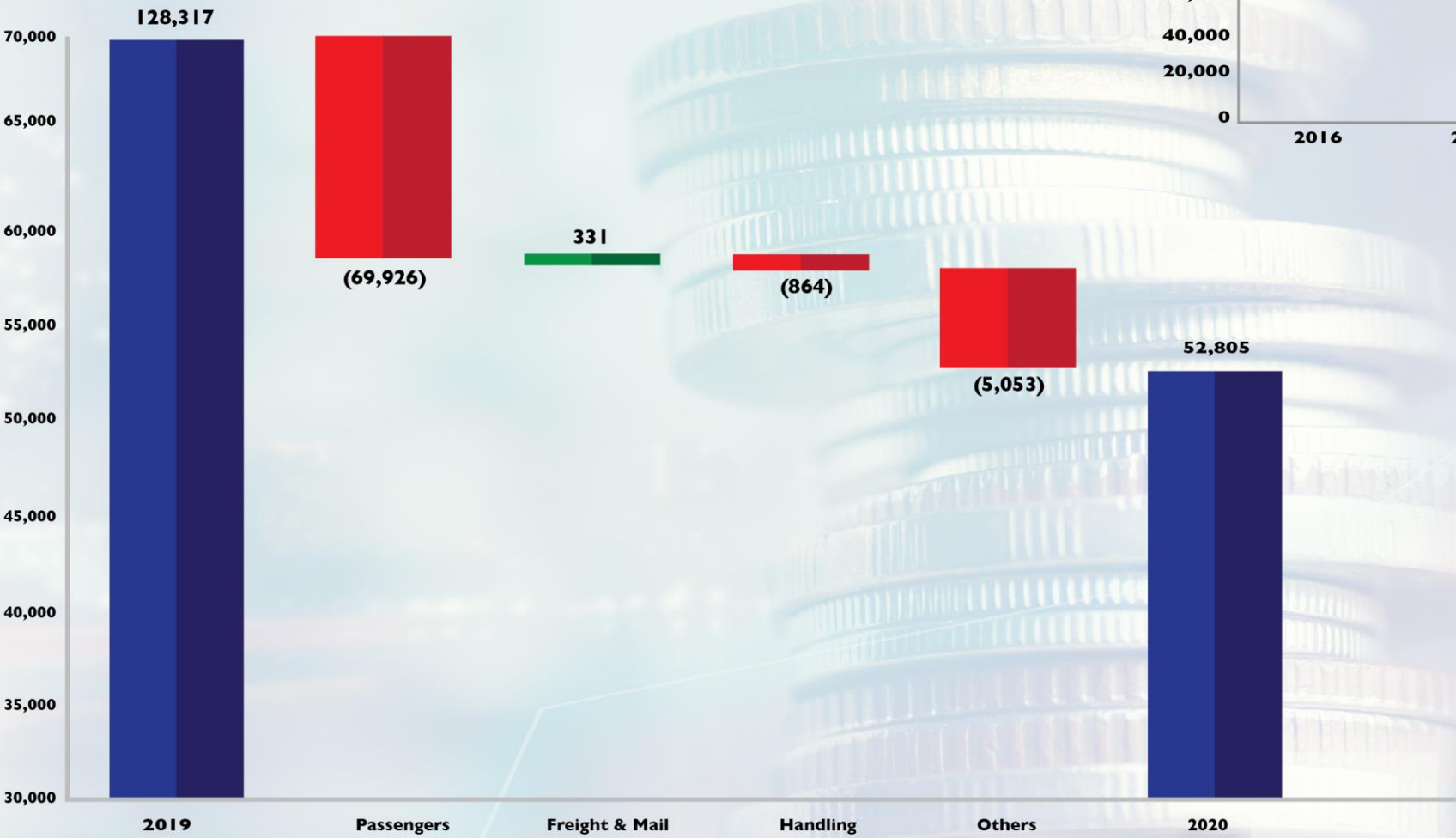
CY – Current Year

PY – Previous Year

Financial Highlights



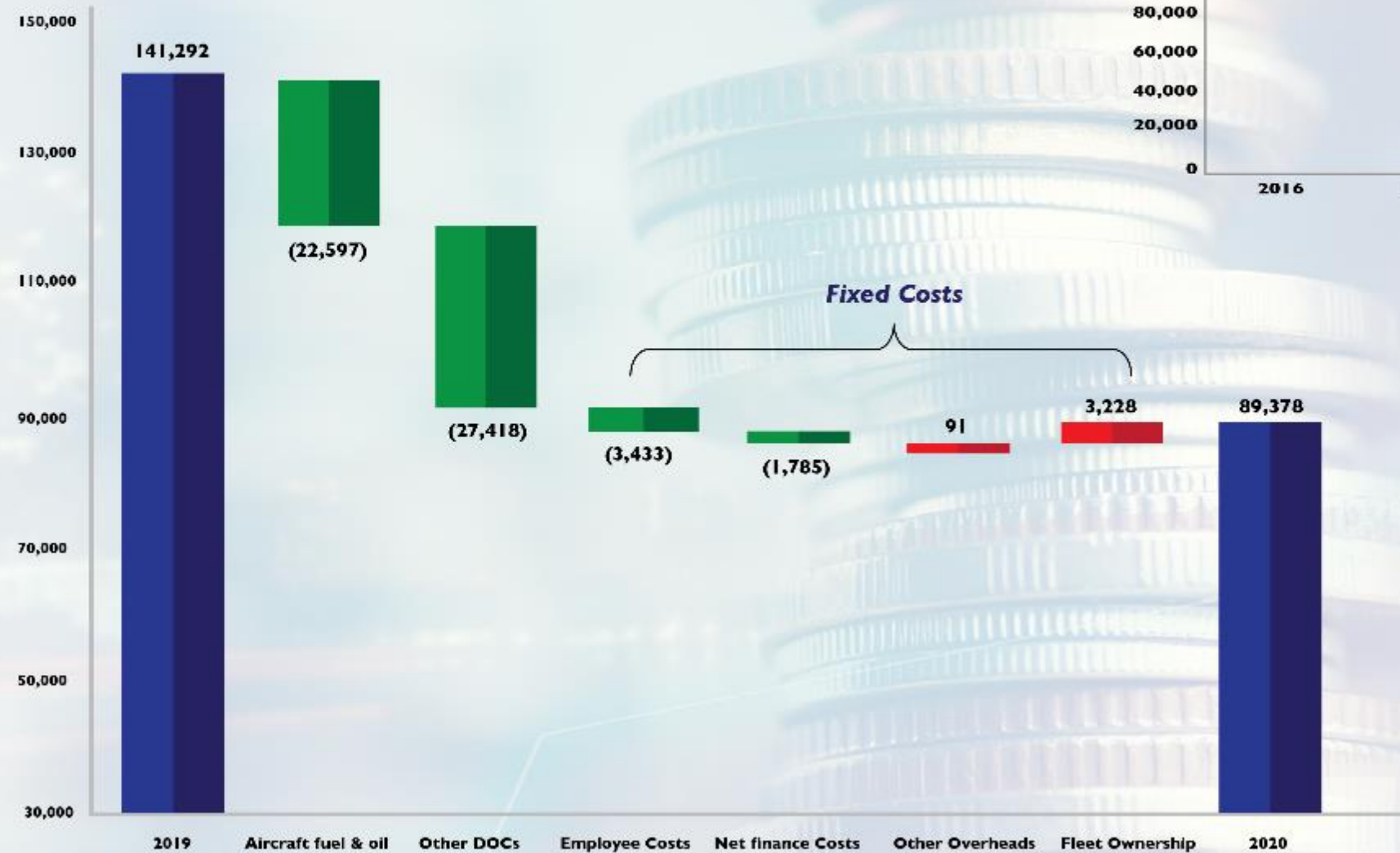
Turnover Trend



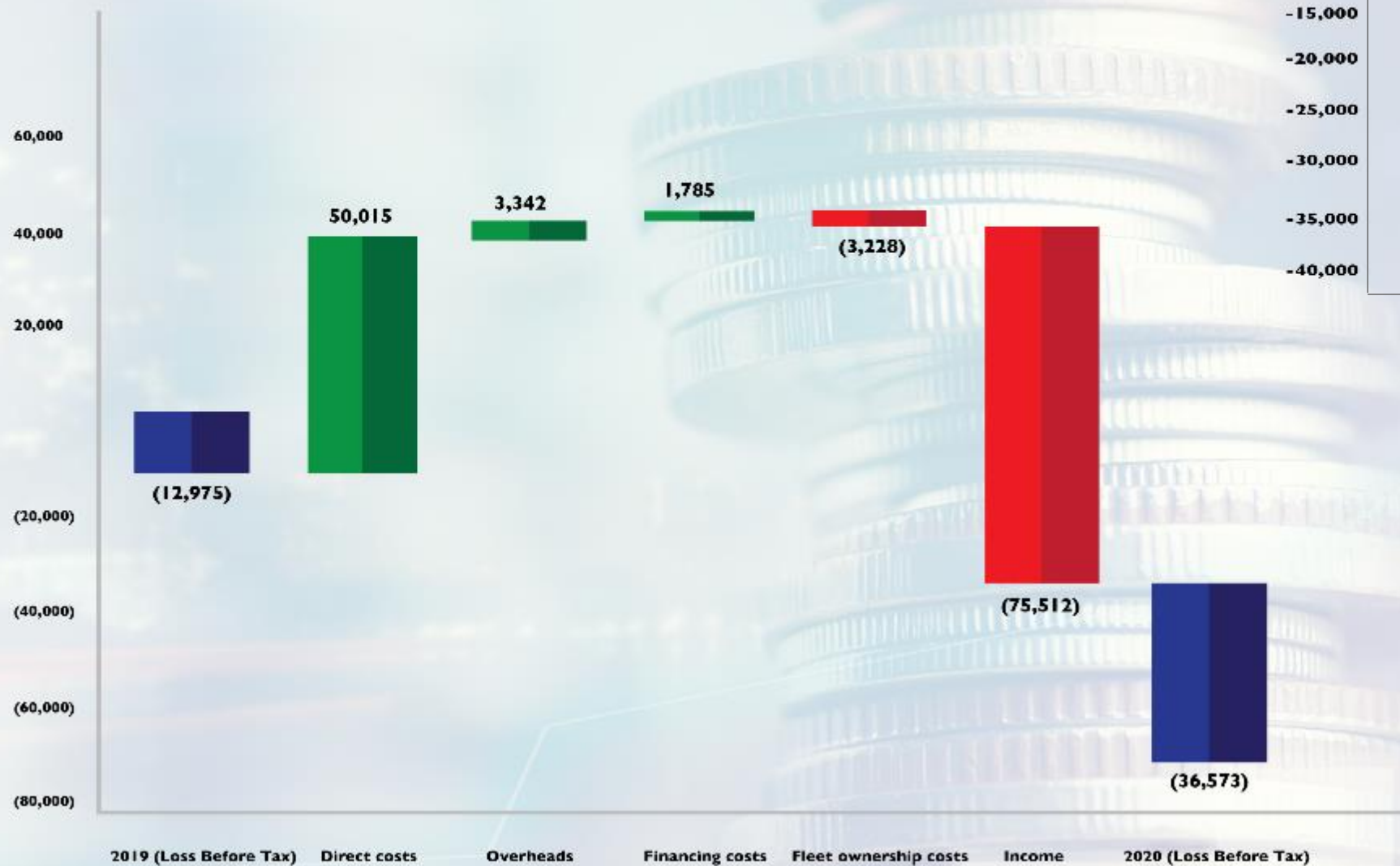
Revenue Ksh Mil



Cost Trend



Performance Trend



Loss Before Tax Ksh Mil

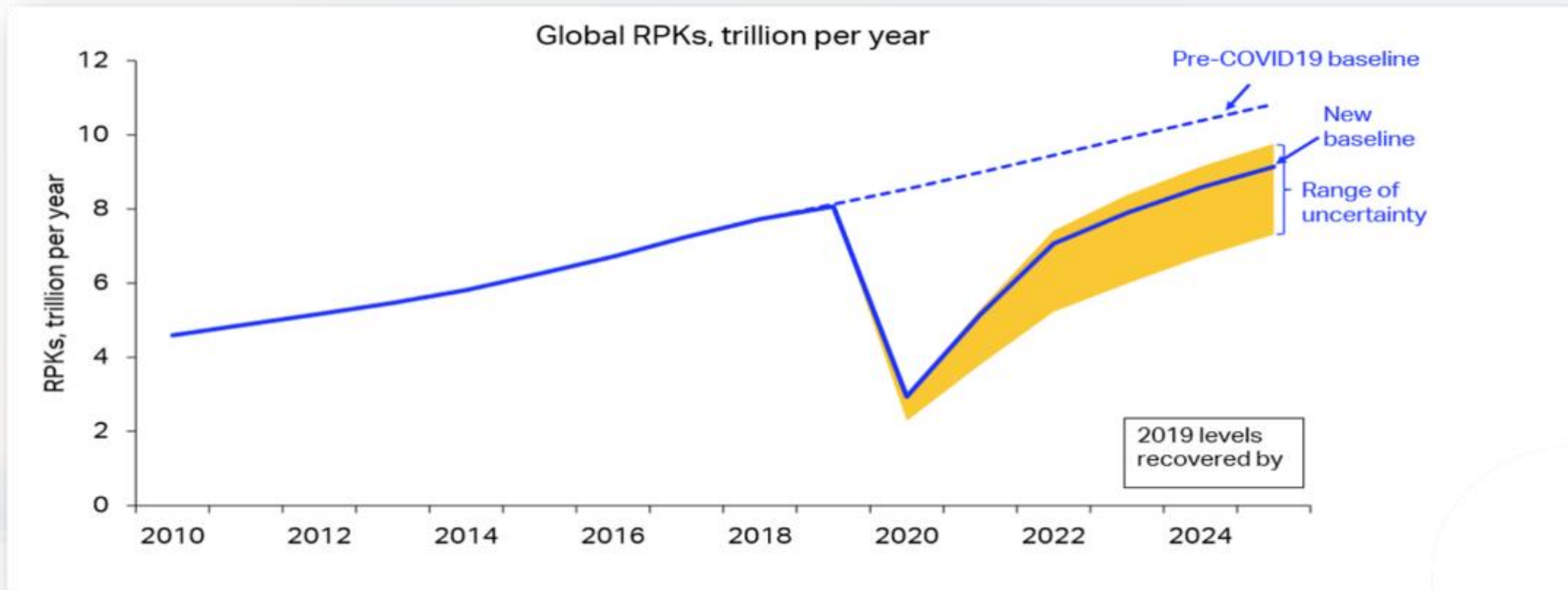


Looking Ahead



Projected Demand Recovery IATA

Revenue Passenger Kilometers (RPK) forecasts downgraded; 2019 regained only by 2024
75% growth now forecast for 2021 but RPKs still 36% below 2019 levels



Source: IATA/Tourism Economics' Air Passenger Forecasts, July 2020

Looking Ahead

Aviation in Africa



PRE COVID-CHALLENGES

Intra-African connectivity levels among the lowest in the world
Limited to/from Central/Western Region

Air transport is unaffordable for the average African population
2 to 3 times higher than in other regions

Infrastructure limitations
Airports and Air Navigation Services



COVID CHALLENGES

Dramatic drop in demand
Adequate stimulation packages by governments needed

Airline related Jobs at Risk
3.1 million jobs could be lost if airlines collapse and could fall by \$28B



FUTURE TRENDS

Evolving travel model
High dependency on Regional, Domestic and point to point traffic

Tourism may recover faster
Pent up demand for travel

Crisis to Opportunity



Reform the National Civil Aviation framework:
Even out the field, competitiveness



Develop Partnerships
To support the Airlines growth aspirations



Clean up legacy issues
Costs Base, contracts, Capitalization



Innovation
Respond to new & future market trends using digital technology & data



Growth
Continue building financially sustainable network & fleet



Grow Cargo
Volume & market share



New products & businesses
Address Health and safety concerns



Asanteni!